

# MEANING OF WAGES

- In economics, the price paid to labour for its contribution to the process of production is called wages.
- Wages are commonly understood as a price for the services of labour or as a payment.
- wage means any monetary amount given by an employer to his employees for their services.
- It is different from the salary which in accounting and economic terms is paid to non-manual workers.
- Wages are the remuneration for the expenditure of effort in production of goods & services. The efforts of wage earner may be physical, mental or a combination of the two.

# DEFINITIONS OF 'WAGES'

- “Wages is the payment to labour for its assistance to production.” -A.H. Hansen
- Wage rate is the price paid for the use of labour.” -Mc Connell
- “A wage is price, it is the price paid by the employer to the worker on account of labour performed.” -J.R. Turner
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## Features of a Good Wage System

1. The system should be **fair both** to the employer and the employee. It should be **based upon scientific time and motion study** to ensure a standard output to the employer and a fair amount of wages to the workers.
2. The worker should be assured of a **guaranteed minimum wage** at satisfactory level irrespective of the work done by him.
3. Workers should be paid according to their **merits**. Efficient workers should be able to earn more wages as compared to the inefficient workers.
4. **Skilled workers** should be paid more as compared to the unskilled workers. Skilled workers are to be compensated for the efforts put in by them **to acquire the skill**.
5. The system should ensure **equal pay for equal work**.

6. The system should be **flexible** to allow necessary changes which may arise.
7. The system should be such as to **minimise labour turnover**, absenteeism and late attendance.
8. The system should not violate any **local or national trade union's agreements**.
9. The system should keep in view the **wage rate in the same area or industry**.
10. In order to protect the real wages from erosion, the level of money wages should be adjusted to price changes. Workers should be paid **dearness or dear food allowance** over and above the basic pay to take account of an increase in prices. Thus, a system of wage payment should keep in view the **price changes**.
11. The system should be correlated to the **capacity of the organisation to pay**.

12. The method should be **simple** and capable of being understood by the workers.
13. The workers and unions of workers should be adequately informed about the **procedures used** to establish wage rates, so that there may be no cause of suspicion in the minds of workers.

To conclude, the system of wages should ultimately result into **higher production, improved quality of the output and the contented labour force.**

# **TYPES OF 'WAGES'**

PIECE  
WAGES

TIME  
WAGES

CASH  
WAGES

WAGES IN  
KIND

CONTRACT  
WAGES



# PIECE RATE WAGES

- Under piece system of payment, wages are based on output and not on time.
- There is no consideration for time taken in completing a task.
- A fixed rate is paid for each unit produced, job completed or an operation performed.
- Workers are not guaranteed minimum wages under this system of wage payment. Different piece rates will be determined for separate jobs.

Quantity produced = output x piece rate

# **ADVANTAGES OF PIECE RATE WAGES**

**1.Quantity produced = output x piece rate**

**2.WAGES LINKS TO EFFORTS**

**3.BETTER UTILIZATION OF EQUIPMENT/MACHINES**

**4.DIFFERENTIATION BETWEEN EFFICIENT AND  
INEFFICIENT**

**5.LESS SUPERVISION REQUIRED**

**6.EFFECTIVE COST CONTROL**



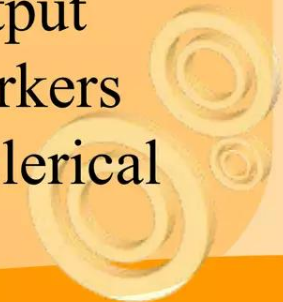
# DISADVANTAGES OF PIECE RATE WAGES

1. Poor quality of goods
- 2. Deterioration in health:**
3. Cause of dissatisfaction
4. Not suitable for beginners
- 5. Difficulty in fixing piece-rates**
6. Opposition from unions

# Advantages

- Work as an inducer for workers to produce more
- Here reward is related to efforts.
- This method is fair to all as inefficient workers are penalized and efficient workers are rewarded.

# Disadvantages

- In an effort to produce more and earn more workers may exert themselves to fatigue.
  - Workers feel insecure in this system because they will lose wages for the period of absence.
  - This system requires an up-to-date record of output produced by each worker which increases the clerical work
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# SUITABILITY

- (1) Where production quantity is more important than the quality of the product.
- (2) When the work is of repetitive nature.
- (3) When the mass manufacturing system of production is followed and the work is standardized suitable for continuous manufacturing.
- (4) When it is possible to measure the production output of worker separately.
- (5) When strict supervision is not required and difficult.
- (6) When the production is dependent on human efforts.



# TIME WAGES

- wages are paid according to the time spent by workers irrespective of his output of work done.
- Wage is measured on the basis of unit of time, e.g., per day, per week or per month
- The wage rates are fixed for an hour, a day, week, a month or even a year (seldom used).
- Time Wage is based on the amount of time spent or the passage of time, e.g., hour, day, week or month.
- It does not depend at all on the performance or the amount of output given by the employee.

Earnings =  $T \times R$  where T stands for time spent and R is rate of pay.

# Advantages

- Simplest system and economical
- It gives workers a sense of security as they know that they will be compensated for time spent within the organization irrespective of their efficiency.
- The quality of the output can be maintained because workers are not in a hurry to complete the job for they are paid on time basis and not on the basis of output produced.
- Minimize material wastages as the work is not done in hurry
- This system works best on artistic jobs where quality of output is of prime consideration.
- Workers can easily understand the calculation of their wages.

# Disadvantages

- The system doesn't differentiate between efficient and inefficient workers. As wages are paid in terms of time spent, it decrease the morale of efficient ones.
- It requires continuous supervision
- As the workers are not in hurry to work, production can suffer.
- Under this process the workers generally adopt the policy of go slow.
- This system has no positive inducement for workers so that they could enhance their efficiency.





# Variations in Time Wage system

- High Day Rate: in this case the rate of wages is fixed at level higher than the one prevalent in industry to attract best and efficient workers.
- Graduated Time Rate system: A system of wage where the basic time rate is flexible so that it may be adjusted according to the cost of living index is called GTRS. Here the worker is compensated for increase in cost of living index.





# **TYPES OF PIECE RATE WAGES**

1.

- STRAIGHT PIECE RATE

2.

- INCREASING PIECE RATE

3.

- DECREASING PIECE RATE

# TYPES OF TIME RATE WAGES

- (a) Flat time rate or time rate at ordinary level.
- (b) High day rate or time rate at high wage level.
- (c) Measured day rate.
- (d) Graduated time rate.
- (e) differential time rate